Sahyadri farms

Seeding goodness

WhatsLoan

STANDARD OPERATING MANUAL

Member Credit Administration & Settlement

Sahyadri Farmers Producer Company Limited

SOP_SFPCL_LOANDISBURSEMENT | Version 1.0 | August 2025

769
Shareholders

8,500+
Members

45,000
Acres

8 Major
Crops

About SFPCL

769	48	30,000+	45,000
Individual Shareholders	Farmer Producer Cos	Farmers Connected	Acres of Farmland

8 Major Crops in Value Chain

🍇 Grapes	🍅 Tomatoes	🍊 Citrus	🥭 Mangoes
🍌 Bananas	🌽 Sweetcorn	🌰 Cashews	🍑 Pomegranates

Legal Basis: Section 378ZK, Companies Act 2013 — permits secured loans/advances to members (3 months to 7 years)

End-to-End Lending Process — 6 Stages

01	02	03	04	05	06
Initial Loan Request	Credit Assessment	Credit Scrutiny & Approval	Documentation & Stamping	Loan Disbursement	Monitoring & Repayment

Turnaround Time (TAT)

Stage 1–2	Stage 3	Stage 4	Stage 5
2 days	**Immediate**	**Document Prep**	**Same Day**
Credit Assessment Team	Sanction Committee	Compliance Team	Treasury Team

Key Teams: Credit Assessment | Compliance | Treasury | Sanction Committee

Stage 1 & 2 — Loan Request & Credit Assessment

STAGE 1 — Initial Loan Request

1. Borrower (Farmer / FPC) submits Loan Application Form
2. Signed by applicant AND nominee
3. Submitted via offline or digital channel
4. Deputy Manager – Finance verifies completeness
5. Unique reference number issued (LO00000001…)
6. Loan Request Register updated

STAGE 2 — Credit Assessment

1. Loan Appraisal Note prepared (Deputy Manager – Finance)
2. TAT: 2 days from application receipt
3. Eligibility: Active member, no existing default
4. Land documents, KYC, bank statement & crop plan required
5. Loan purpose: Crop production & agriculture only
6. If ineligible → Rejection Note communicated

KYC Documents Required: PAN Card | Aadhaar Card | Share Certificates | 7/12 Extract | Crop Plan | Bank Statements (6 months)

Loan Limit Determination

Method 1 — Shareholding-Based Limit

Loan Limit = No. of Shares × 30% of Valuation per Share

Share valuation: Net Asset Value Method (Fair Market Valuation)
Determined from latest audited financials post-AGM
Current result: ₹200 per share (10% of valuation)
Board approval required to change the percentage

Method 2 — Agricultural Land-Based Limit

Loan Limit = Per-Acre Cost of Cultivation × Land Area

Scale of Finance fixed annually by the Company
Based on prevailing agricultural cost norms
Current cap: ₹20,000 per acre
Updated each financial year

FINAL ELIGIBLE LOAN AMOUNT = Lower of the Two Limits above

Approval Matrix

Loan Amount	Authority	Notes
Up to ₹5,00,000	CFO + 1 Director	Maker-Checker mechanism
Above ₹5,00,000 / Exceeds limit	CFO + 2 Directors	Joint approval in Credit Sanction Register

Stage 3 & 4 — Approval & Documentation

STAGE 3 — Credit Scrutiny & Approval

- ✓ Eligibility Verification
- ✓ Loan Amount Assessment
- ✓ Purpose of Loan check
- ✓ Compliance Checks (Companies Act)
- ✓ Past Borrowing History review
- ✓ Risk Assessment
- ✓ Documentation Completeness

⚠️ Special Case: If a Director / relative is borrower → approval needed from Members in General Meeting (Sec. 378ZK)

STAGE 4 — Documentation & Stamping

- 📄 Power of Attorney (PoA) — ₹500 stamp, notarised
- 📄 Tri-Party Agreement (SFPCL + Borrower + Subsidiary)
- 📄 Share Transfer Form SH-4 (physical shares)
- 📄 CDSL Pledge (D-MAT shares)
- 📄 Term Sheet — signed by applicant & nominee
- 📄 Loan Agreement — ₹500 stamp, notarised
- 📄 Bank Verification Letter (if signature mismatch)
- 📄 Checklist (index of all documents)

Stage 5 — Loan Disbursement

1. **Final Approvals** — CS, Credit Manager, Sanction Committee sign Checklist →
2. **SAP Customer Code Created** — Credit Manager sends details to Sr. Manager–Finance →
3. **Final Verification** — Sr. Manager–Finance verifies all approved documents →
4. **Payment Initiated** — Online transfer via RBL Bank account by Sr. Mgr–Finance →
5. **Authorized Transfer** — Chief Financial Controller gives final approval →
6. **Disbursement Complete** — Loan register updated Disbursement advice sent to farmer

Signatures on Checklist — What They Signify

Company Secretary:	All documents verified & attached
Credit Manager:	Loan limits reviewed & confirmed
Sanction Committee:	Final approval as per authority matrix
Sr. Manager – Finance:	Loan disbursed to applicant's account

Stage 6 — Monitoring & Repayment

Repayment Channels

Direct by Farmer	Via Subsidiary Company
• RTGS / NEFT transfer • Partial repayments: Principal first • SAP entry next working day	• Subsidiary deducts from produce payment • Transfers to SFPCL • Tri-party agreement governs this

Default Handling Process

Missed Payment
+3 month grace period

→

Still Unpaid
Assess: intentional or non-intentional?

→

Non-Intentional
+1 year extension granted

→

Still Unpaid
Treated as non-recoverable

→

Sanction Comm. Decision
Invoke SH-4 / undated cheque

Monitoring & Closure

- DPD Buckets: 1-2 yrs | 2-3 yrs | 3+ yrs — reported to CFO quarterly
- Yearly interest invoices | Monthly SAP accrual entries
- Full repayment → NOC issued + SH-4 & blank cheque returned | Records archived 8 years

Statutory Compliance Framework

Compliance Area	Legal Basis	Frequency	Owner
Producer Co. Lending	s.378ZJ Companies Act	Ongoing	CS & Credit Mgr
Loan Limits (s.186)	60% or 100% of Free Reserves	Quarterly	CFO
NBFC Principal Test	RBI NBFC Framework	Quarterly	CFO
KYC / AML	PMLA 2002 + RBI KYC 2023	Bi-annual	Credit Head
Stamp Duty	Maharashtra Stamp Act 1958	At execution	CS
Money-lending Laws	Maharashtra ML Reg. Act	Annual	CS
Accounting & Reporting	Ind AS + Companies Act	Monthly/Qtrly	Accounts Head
Data Protection	IT Act & Best Practices	Quarterly	IT Head & CS
Record Retention	Companies Act — 8 years	Annual audit	CS & Auditor

Top 10 Errors to Avoid

1. Processing loans for non-members or exceeding the per share cap
2. Missing PAN/Aadhaar or CKYC consent in KYC files
3. Incomplete appraisal notes (no income evidence or risk rating)
4. Missing witness signatures on loan agreements or SH-4 forms
5. Disbursing funds before stamping is completed
6. Entering incorrect bank account details in SAP
7. Failing to send year-end interest invoice to farmers
8. Not re-KYCing members every two years
9. Using SH-4 or undated cheques without board approval
10. Delays in issuing NOC upon full loan closure

Critical High Medium

Seeding Goodness — Sahyadri Farms

Agri Credit Delivery & Administration

Built on Trust,
Transparency & Compliance